

Graduate Public Economics: Government Expenditures

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November 2025

Note: This syllabus is designed for a 15-week (semester-length) three-credit graduate course.

Course Description

This is a graduate course in public economics intended for Ph.D. students. Master's students with course trainings equivalent to a Ph.D. first-year microeconomics and econometrics are also welcome. The course consists of three parts.

- Part 1: Rationale and impacts of social protection programs, including social insurance and transfer programs
- Part 2: Why do governments do what they do: identification and determinants of social welfare function
- Part 3: Place-based policies and fiscal federalism
- Part 4: How to produce policy-relevant empirical research

In part 1, we will first learn how to model the social protection programs. We will then learn empirical frameworks to simplify the models to a few parameters that could be estimated in empirical settings. We will then apply the empirical framework to programs in high, middle, and low-income countries. The public economics literature has long studied the government programs in high-income countries. More recently, greater attention and effort have been devoted to understanding social protection programs in middle- and low-income countries. It is an exciting field to delve into, and by learning about programs in high-, middle-, and low-income countries together, we will have a better grasp of how to model public policies in countries where governments face different information and enforcement constraints.

In part 2, we zoom in on an object that is assumed to be given in part 1: social welfare functions. We will dive into recent literature on understanding social preferences, including reverse-engineering from policy implementation and directly eliciting taxpayers' preferences through surveys and community discussions. We will then learn how the composition of voters, the identity of politicians, and the type of political regime determine social welfare functions.

Part 3 studies local governments' expenditures and the problem of allocating government resources not across individuals, but across places.

This course aims to help you be a good consumer and producer of research. To this end, in part 4, we will learn the life cycle of (policy-relevant) research, from writing a pre-analysis plan, interpreting estimates, aggregating estimates from multiple studies, to finally asking the

question: Does the research matter in policy-making? The lectures in this part will be scattered throughout the semester, so that you can apply what you learned from this part in your assignment.

Acknowledgments: I thank Professor Raj Chetty, Professor Amy Finkelstein, Professor Stefanie Stantcheva, and Professor Owen Zidar for making their teaching materials publicly available on their websites, and IGC and BREAD for making their social protection course materials accessible online. The structure and content of this course have benefited greatly from these sources.

Course Objective

By the end of this course, you should be able to evaluate whether a policy proposal effectively achieves a specific policy goal when consulted by a policy-maker by conducting the following tasks.

- Write down a simple economic model to analyze the policy proposal.
- Derive the key target parameters from the model that determines policy effectiveness.
- Design a research project to estimate the target parameters.

Useful Materials

There are no required textbooks for this course. But the following publicly available materials may be useful to you.

- Professor Raj Chetty's Public Economics materials. [Link here](#)
- Professor Amy Finkelstein's Public Economics materials. [Link here](#)
- Professor Stefanie Stantcheva's Public Economics materials. [Link here](#)
- Professor Owen Zidar's Public Economics materials. [Link here](#)
- BREAD-IGC virtual PhD course on social protection. [Link here](#)
- BITSS pre-analysis plan resource page. [Link here](#)

Course Requirements

1. Two problem sets. One on sufficient statistics. One on the marginal value of public funds (MVPF).
2. Weekly responses. Each week (except the weeks focusing on methods), you must read the required paper and submit a half-page document that contains: 1-2 concerns you have about methods or discussions in the paper.
3. A pre-analysis plan. You have to develop a pre-analysis plan that includes research questions, proposed data collection methods, and proposed empirical methods.

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4. A final exam.

Your grade will be 30% problem sets, 20% weekly responses, 30% pre-analysis plan, and 20% final exam.

Lecture Schedules

Papers with asterisks are for weekly responses.

Week 1: Job loss in high-income countries

Questions:

- Why does the government provide unemployment insurance?
- What is the optimal level of unemployment insurance?

Readings:

1. Raj Chetty and Amy Finkelstein. Chapter 3 - social insurance: Connecting theory to data. In Alan J. Auerbach, Raj Chetty, Martin Feldstein, and Emmanuel Saez, editors, *handbook of public economics*, vol. 5, volume 5 of *Handbook of Public Economics*, pages 111–193. Elsevier, 2013
2. Nathaniel Hendren. Knowledge of future job loss and implications for unemployment insurance. *American Economic Review*, 107(7):1778–1823, July 2017
3. Raj Chetty. A general formula for the optimal level of social insurance. *Journal of Public Economics*, 90(10):1879–1901, 2006
4. *Camille Landaïs and Johannes Spinnewijn. The value of unemployment insurance. *The Review of Economic Studies*, 88(6):3041–3085, 09 2021

Week 2: Job loss in middle-and-low income countries

Questions:

- What happens to unemployment insurance programs if people can work in places where governments cannot observe?
- How does the government provide unemployment insurance when it does not observe employment status at all?

Readings:

1. Timothy Besley and Stephen Coate. Workfare versus welfare: Incentive arguments for work requirements in poverty-alleviation programs. *The American Economic Review*, 82(1):249–261, 1992
2. François Gerard and Gustavo Gonzaga. Informal labor and the efficiency cost of social programs: Evidence from unemployment insurance in brazil. *American Economic Journal: Economic Policy*, 13(3):167–206, August 2021

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3. Clément Imbert and John Papp. Labor market effects of social programs: Evidence from india's employment guarantee. *American Economic Journal: Applied Economics*, 7(2):233–63, April 2015
 4. *Laura V. Zimmermann. Why guarantee employment? evidence from a large indian public-works program. *Economic Development and Cultural Change*, 72(4):2031–2067, 2024

Week 3: Loss of ability to work in the long-term

Questions:

- What screening criteria should the governments have when they only observe an imperfect signal of the ability to work?

Readings:

1. Peter Diamond and Eytan Sheshinski. Economic aspects of optimal disability benefits. *Journal of Public Economics*, 57(1):1–23, 1995
2. Mikhail Golosov and Aleh Tsyvinski. Designing optimal disability insurance: A case for asset testing. *Journal of Political Economy*, 114(2):257–279, 2006
3. David Autor, Andreas Kostøl, Magne Mogstad, and Bradley Setzler. Disability benefits, consumption insurance, and household labor supply. *American Economic Review*, 109(7):2613–54, July 2019
4. Manasi Deshpande and Lee M. Lockwood. Beyond health: Nonhealth risk and the value of disability insurance. *Econometrica*, 90(4):1781–1810, 2022
5. *Gordon B. Dahl, Andreas Ravndal Kostøl, and Magne Mogstad. Family welfare cultures. *The Quarterly Journal of Economics*, 129(4):1711–1752, 08 2014

Week 4: Producing empirical research I: before we access the data

Problem set 1 on sufficient statistics is due.

Questions:

- What are some good practices to be a responsible empirical researcher?

Readings:

1. Forming prior
Stefano DellaVigna and Eva Vivalt. Forecasting social science: Evidence from 100 projects. Working Paper 34493, National Bureau of Economic Research, November 2025
2. Writing pre-analysis plan
Benjamin A. Olken. Promises and perils of pre-analysis plans. *Journal of Economic Perspectives*, 29(3):61–80, September 2015

3. Calculating power

David McKenzie. Designing and analysing powerful experiments: practical tips for applied researchers. *Fiscal Studies*, 46(3):305–322, 2025

4. Multiple outcomes

Michael L Anderson and Jeremy Magruder. Highly powered analysis plans. Working Paper 29843, National Bureau of Economic Research, March 2022

5. Research freedom

Nick Huntington-Klein, Claus C Portner, Ian McCarthy, and The Many Economists Collaborative on Researcher Variation. The sources of researcher variation in economics. Working Paper 33729, National Bureau of Economic Research, May 2025

Week 5: Empirical welfare analysis

Questions:

- How do we calculate social welfare?
- How do we compare the net benefits across social programs?

Readings:

1. Louis Kaplow. A fundamental objection to tax equity norms: A call for utilitarianism. *National Tax Journal*, 48(4):497–514, 1995
2. Emmanuel Saez and Stefanie Stantcheva. Generalized social marginal welfare weights for optimal tax theory. *American Economic Review*, 106(1):24–45, January 2016
3. Nathaniel Hendren and Ben Sprung-Keyser. A unified welfare analysis of government policies*. *The Quarterly Journal of Economics*, 135(3):1209–1318, 03 2020

Week 6: Identifying program beneficiaries

Questions:

- Should the government give everyone cash?
- How to target program beneficiaries?

Readings:

1. Rema Hanna and Benjamin A. Olken. Universal basic incomes versus targeted transfers: Anti-poverty programs in developing countries. *Journal of Economic Perspectives*, 32(4):201–26, November 2018
2. Benjamin A. Olken. Corruption and the costs of redistribution: Micro evidence from indonesia. *Journal of Public Economics*, 90(4):853–870, 2006
3. Vivi Alatas, Abhijit Banerjee, Rema Hanna, Benjamin A. Olken, and Julia Tobias. Targeting the poor: Evidence from a field experiment in indonesia. *American Economic Review*, 102(4):1206–40, June 2012

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4. Vivi Alatas, Abhijit Banerjee, Rema Hanna, Benjamin A. Olken, Ririn Purnamasari, and Matthew Wai-Poi. Self-targeting: Evidence from a field experiment in indonesia. *Journal of Political Economy*, 124(2):371–427, 2016
 5. *Johannes Haushofer, Paul Niehaus, Carlos Paramo, Edward Miguel, and Michael Walker. Targeting impact versus deprivation. *American Economic Review*, 115(6):1936–74, June 2025

Week 7: Producing research II: interpreting and diffusing the results; Giving people cash

Questions:

- How informative are the estimates?
- How do we aggregate estimates across studies?
- Does research change policymakers' beliefs?
- Does giving people cash make them work less?

Readings:

1. Alberto Abadie. Statistical nonsignificance in empirical economics. *American Economic Review: Insights*, 2(2):193–208, June 2020
2. Tommaso Crosta, Dean Karlan, Finley Ong, Julius Rüschepöhler, and Christopher R Udry. Unconditional cash transfers: A bayesian meta-analysis of randomized evaluations in low and middle income countries. Working Paper 32779, National Bureau of Economic Research, August 2024
3. Jonas Hjort, Diana Moreira, Gautam Rao, and Juan Francisco Santini. How research affects policy: Experimental evidence from 2,150 brazilian municipalities. *American Economic Review*, 111(5):1442–80, May 2021
4. Benjamin A. Olken, Alexa Weiss, and Rema Hanna. Social protection: Policymaker beliefs and empirical evidence. In *The Handbook on Social Protection*. MIT Press, Cambridge, MA, 2026
5. *Carolina Kansikas, Anandi Mani, and Paul Niehaus. Structuring cash transfers: cash flow preferences, seasonality, and financial decisions in rural kenya. Technical report, UC San Diego, May 2025

Week 8: Giving people cash conditionally

Problem set 2 on the marginal value of public funds is due.

Questions:

- Why does the government give people cash only when they continue finishing certain tasks?

Readings:

1. Sarah Baird, Craig McIntosh, and Berk Özler. Cash or condition? evidence from a cash transfer experiment *. *The Quarterly Journal of Economics*, 126(4):1709–1753, 10 2011
2. Petra E. Todd and Kenneth I. Wolpin. Assessing the impact of a school subsidy program in mexico: Using a social experiment to validate a dynamic behavioral model of child schooling and fertility. *American Economic Review*, 96(5):1384–1417, December 2006
3. *Susan W Parker and Tom Vogl. Do conditional cash transfers improve economic outcomes in the next generation? evidence from mexico. *The Economic Journal*, 133(655):2775–2806, 07 2023

Week 9: Giving people something else

Questions:

- Why does the government give people things other than cash?

Readings:

1. Lucie Gadenne and Monica Singhal. The form of transfers: In-kind, cash, or vouchers? In *The Handbook on Social Protection*. MIT Press, Cambridge, MA, 2026
2. Lucie Gadenne, Samuel Norris, Monica Singhal, and Sandip Sukhtankar. In-kind transfers as insurance. *American Economic Review*, 114(9):2861–97, September 2024
3. Rebecca Diamond and Tim McQuade. Who wants affordable housing in their backyard? an equilibrium analysis of low-income property development. *Journal of Political Economy*, 127(3):1063–1117, 2019
4. Ethan M. J. Lieber and Lee M. Lockwood. Targeting with in-kind transfers: Evidence from medicaid home care. *American Economic Review*, 109(4):1461–85, April 2019
5. *Anna Chorniy, Amy Finkelstein, and Matthew J Notowidigdo. Paternalistic social assistance: Evidence and implications from cash vs. in-kind transfers. Working Paper 34506, National Bureau of Economic Research, November 2025

Week 10: General equilibrium effects

Questions:

- How do social protection programs affect the general economy, including both program recipients and non-recipients?

Readings:

1. Dennis Egger, Johannes Haushofer, Edward Miguel, Paul Niehaus, and Michael Walker. General equilibrium effects of cash transfers: Experimental evidence from kenya. *Econometrica*, 90(6):2603–2643, 2022

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2. Karthik Muralidharan, Paul Niehaus, and Sandip Sukhtankar. General equilibrium effects of (improving) public employment programs: Experimental evidence from india. *Econometrica*, 91(4):1261–1295, 2023
 3. Marco Di Maggio and Amir Kermani. The importance of unemployment insurance as an automatic stabilizer. Working Paper 22625, National Bureau of Economic Research, September 2016
 4. *Joana Naritomi, François Gerard, and Joana Silva. Cash transfers and the local economy: Evidence from brazil. *Econometrica*, 2025. Conditionally accepted

Week 11: Identifying social welfare function

Questions:

- What social welfare function is consistent with the implemented policies?
- What does the social welfare function look like in the taxpayers' minds?

Readings:

1. Daniel Björkegren, Joshua E Blumenstock, and Samsun Knight. What do policies value?. *The Review of Economic Studies*, page rdaf089, 10 2025
2. Vivi Alatas, Abhijit Banerjee, Rema Hanna, Benjamin A. Olken, and Julia Tobias. Targeting the poor: Evidence from a field experiment in indonesia. *American Economic Review*, 102(4):1206–40, June 2012
3. Stefanie Stantcheva. Understanding tax policy: How do people reason? *The Quarterly Journal of Economics*, 136(4):2309–2369, 09 2021
4. *Benjamin A. Olken. Corruption and the costs of redistribution: Micro evidence from indonesia. *Journal of Public Economics*, 90(4):853–870, 2006

Week 12: Evolving changes of social welfare function

Questions:

- How does the political process affect the social welfare functions?

Readings:

1. Grant Miller. Women's suffrage, political responsiveness, and child survival in american history*. *The Quarterly Journal of Economics*, 123(3):1287–1327, 08 2008
2. Thomas Fujiwara. Voting technology, political responsiveness, and infant health: Evidence from brazil. *Econometrica*, 83(2):423–464, 2015
3. Per Pettersson-Lidbom. Do parties matter for economic outcomes? a regression-discontinuity approach. *Journal of the European Economic Association*, 6(5):1037–1056, 09 2008

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4. Raghbendra Chattopadhyay and Esther Duflo. Women as policy makers: Evidence from a randomized policy experiment in india. *Econometrica*, 72(5):1409–1443, 2004
 5. Robin Burgess, Remi Jedwab, Edward Miguel, Ameet Morjaria, and Gerard Padró i Miquel. The value of democracy: Evidence from road building in kenya. *American Economic Review*, 105(6):1817–51, June 2015
 6. *Alberto Alesina and Nicola Fuchs-Schündeln. Good-bye lenin (or not?): The effect of communism on people’s preferences. *American Economic Review*, 97(4):1507–1528, September 2007

Week 13: Targeting space

Pre-analysis plan is due.

Questions:

- What happens when we give some places more resources than others?

Readings:

1. Jennifer Roback. Wages, rents, and the quality of life. *Journal of Political Economy*, 90(6):1257–1278, 1982
2. Patrick Kline and Enrico Moretti. People, places, and public policy: Some simple welfare economics of local economic development programs. *Annual Review of Economics*, 6(Volume 6, 2014):629–662, 2014
3. Patrick Kline and Enrico Moretti. Local economic development, agglomeration economies, and the big push: 100 years of evidence from the tennessee valley authority *. *The Quarterly Journal of Economics*, 129(1):275–331, 11 2013
4. *Yi Lu, Jin Wang, and Lianming Zhu. Place-based policies, creation, and agglomeration economies: Evidence from china’s economic zone program. *American Economic Journal: Economic Policy*, 11(3):325–60, August 2019

Week 14: Local public finance

Questions:

- Which services should be provided by the local governments?
- To what extent does “voting with their feet” work?

Readings:

1. Charles M. Tiebout. A pure theory of local expenditures. *Journal of Political Economy*, 64(5):416–424, 1956
2. Wallace E. Oates. An essay on fiscal federalism. *Journal of Economic Literature*, 37(3):1120–1149, September 1999

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3. Sherwin Rosen. Hedonic prices and implicit markets: Product differentiation in pure competition. *Journal of Political Economy*, 82(1):34–55, 1974
 4. Patrick Bayer, Fernando Ferreira, and Robert McMillan. A unified framework for measuring preferences for schools and neighborhoods. *Journal of Political Economy*, 115(4):588–638, 2007
 5. *Rebecca Diamond. Housing supply elasticity and rent extraction by state and local governments. *American Economic Journal: Economic Policy*, 9(1):74–111, February 2017

Week 15: Decentralization

Questions:

- Should local governments in middle-and low-income countries be responsible for more service provisions?

Readings:

1. Lucie Gadenne and Monica Singhal. Decentralization in developing economies. *Annual Review of Economics*, 6(Volume 6, 2014):581–604, 2014
2. Katherine Casey. Radical decentralization: Does community-driven development work? *Annual Review of Economics*, 10(Volume 10, 2018):139–163, 2018
3. Lucie Gadenne. Tax me, but spend wisely? sources of public finance and government accountability. *American Economic Journal: Applied Economics*, 9(1):274–314, January 2017
4. Molly Lipscomb and Ahmed Mushfiq Mobarak. Decentralization and pollution spillovers: Evidence from the re-drawing of county borders in brazil*. *The Review of Economic Studies*, 84(1):464–502, 11 2016
5. *Samuel Bazzi and Matthew Gudgeon. The political boundaries of ethnic divisions. *American Economic Journal: Applied Economics*, 13(1):235–66, January 2021